

MODEL QUESTION PAPER----- SET 1**INCOME TAX LAW AND PRACTICE**

(Time: 3 hours)

(Maximum marks: 75)

Part A**I. Answer all questions in one word or one sentence.**

(9 x 1 = 9 marks)

1.	Person is defined under section _____ of the Income Tax Act, 1961	M1.01	R
2.	Give full form for CBDT	M1.01	R
3.	The Gross Annual Value is the higher of Actual Rent and-----	M2.01	R
4.	In income tax, depreciation is allowed on aof assets.	M2.05	R
5.	Capital asset excludes all except- (a) Stock-in-trade (b) Personal Effects (c) Jewelry (d) Agricultural land in India.	M3.01	R
6.	Tax deducted from the source of generation of income is known as.....	M3.03	R
7.	Transfer of income without transfer of asset would be taxable in the hands of: a) Transferor only b) Transferee only c) Either transferor or transferee d) Both transferor and transferee	M4.01	R
8.	The maximum period for which losses from speculative business can be carried forward is	M4.02	R
9.	No. of days in a month for purposes of computing taxable Gratuity in case the employee is covered under the Payment of Gratuity Act, 1972, are?	M1.03	R

PART B

II. Answer any **eight** questions from the following. Each question carries 3 marks

3x8 = 24 marks

1.	Define Assessment Year.	M1.01	R
2.	State the fully taxable allowances.	M1.03	U
3.	What is unrealized rent?	M2.02	R
4.	State different kinds of house property from which income is fully exempt.	M2.02	U
5.	Define capital assets.	M3.01	R
6.	What do you mean less tax government securities?	M3.03	R
7.	State the rule for set off and carry forward of Losses in speculation business.	M4.02	U
8.	Summarize the rule regarding deduction u/s 80U of Income Tax Act.	M4.03	U
9.	How will you calculate exempted portion of HRA?	M1.04	R
10	Distinguish between assessee in default and deemed assessee.	M1.01	U

PART C

Answer **ALL** questions. Each question carries 7 marks.

6x7 = 42 Marks

III.	From the following details calculate the total income of Mr. Raja, if he is Ordinarily Resident, Not Ordinarily Resident and Non Resident. Dividend from Indian company Rs 1,00,000 Dividend from foreign company Rs 1,50,000, received in India Income from business in Kenya but controlled from India Rs, 2,00,000 Income accrued in Switzerland Rs, 2,50,000, 2/5th received in India Income from business in Indonesia but controlled from Bangladesh Rs, 5,00,000	M1.02	U
OR			

IV.	List out the perquisites taxable in hands of all employees.	M1.03	R
V.	Describe the steps involved in determination of annual value.	M2.02	U
OR			
VI.	Calculate Annual Rental Value from the following particulars for the assessment year 2020-21. Actual rent Rs: 14,000 p.m.; MRV Rs: 1,20,000 p.a.; FRV Rs: 1,32,000 p.a. Standard rent Rs: 1,38,000. During the P.Y. the assessee is not able to realise two months rent.	M2.03	U
VII.	Differentiate between Long term capital gains and Short term capital gains.	M3.01	U
OR			
VIII.	Mr. S.B.Singh, a College Professor, furnished the following particulars. You are required to compute income from other sources: Examination remuneration Rs: 7,000 Royalty from books and articles Rs: 25,000 Winnings from card games Rs: 6,700 Winnings from State lottery Rs: 30,000 Expenditure on purchase of lottery tickets Rs: 12,000.	M3.03	U
IX.	List out various cases of Clubbing of Income.	M4.01	R
OR			
X.	From the following information of a trader, compute the gross total income for the AY 2020-21: 1) Income from H.P. Rs: 2,50,000 2) Business Loss Rs: 60,000 3) Current year's depreciation Rs: 10,000 4) Business loss of preceding years Rs: 50,000 5) Unabsorbed depreciation of preceding years Rs: 30,000 6) STCG Rs: 40,000 7) LTCG Rs: 50,000	M4.04	A
XI.	The Following are the particulars of Mr. Priyan who is employed in Chennai.	M1.04	U

	i. Basic Salary Rs.4000 p.m ii. DA (60% of Basic Salary) iii. CCA Rs.250 p.m iv. House Rent Allowance Rs.450 p.m (Rent paid Rs.500 p.m) v. During the year he paid professional tax Rs.550 vi. Education allowances Rs.150 p.m (Per Child) Calculate Salary Income.																																						
OR																																							
XII.	List out different kinds of casual incomes.	M1.01	R																																				
XIII.	From the following P&L account, compute income from business: Profit And Loss Account <table style="width: 100%; border-collapse: collapse;"> <tr> <td style="width: 40%;">To Salaries</td> <td style="width: 10%; text-align: right;">14,600</td> <td style="width: 20%;">By G/P</td> <td style="width: 30%; text-align: right;">1,35,000</td> </tr> <tr> <td>To Household expense</td> <td style="text-align: right;">2000</td> <td></td> <td></td> </tr> <tr> <td>To Income tax</td> <td style="text-align: right;">900</td> <td></td> <td></td> </tr> <tr> <td>To Gifts</td> <td style="text-align: right;">900</td> <td></td> <td></td> </tr> <tr> <td>To Business expense</td> <td style="text-align: right;">2,200</td> <td></td> <td></td> </tr> <tr> <td>To LIC premium</td> <td style="text-align: right;">2,100</td> <td></td> <td></td> </tr> <tr> <td>To Bad debt reserve</td> <td style="text-align: right;">800</td> <td></td> <td></td> </tr> <tr> <td>To N/P</td> <td style="text-align: right;">1,11,500</td> <td></td> <td></td> </tr> <tr> <td></td> <td style="text-align: right;">1,35,000</td> <td></td> <td style="text-align: right;">1,35,000</td> </tr> </table>	To Salaries	14,600	By G/P	1,35,000	To Household expense	2000			To Income tax	900			To Gifts	900			To Business expense	2,200			To LIC premium	2,100			To Bad debt reserve	800			To N/P	1,11,500				1,35,000		1,35,000	M2.06	A
To Salaries	14,600	By G/P	1,35,000																																				
To Household expense	2000																																						
To Income tax	900																																						
To Gifts	900																																						
To Business expense	2,200																																						
To LIC premium	2,100																																						
To Bad debt reserve	800																																						
To N/P	1,11,500																																						
	1,35,000		1,35,000																																				
OR																																							
XIV	What are the deductions allowable from Net Annual Value of house property?	M2.02	U																																				

MODEL QUESTION PAPER----- SET 2
INCOME TAX LAW AND PRACTICE

(Time: 3 hours)

(Maximum marks: 75)

Part A

I. Answer **all** questions in one word or one sentence.

(9 x 1 = 9 marks)

1.	Income is defined under section _____ of the Income Tax Act, 1961	M1.01	R
2.	Any remuneration received by an employee from employer is taxable under the head	M1.03	R
3.	Expected Rent is always the higher of Fair Rental Value and Municipal Valuation? a) True b) True but limited to Standard Rent c) True but limited to INR 250,000 d) False	M2.01	R
4.	Brought forward unabsorbed capital expenditure on scientific research can be carried forward for -----years	M2.05	R
5.	In terms of section 2(42A), listed securities are treated as long-term capital asset, if they are held for a period of more than	M3.01	R
6.	Income not fall under first four heads of income known as	M3.03	R
7.	Income of minor child, includible in the income of his/her parents income, deductible to the extent of such income does not exceeds _____ for each minor child	M4.01	R
8.	Maximum qualifying limit for deduction under section 80C is.....	M4.02	R
9.	Maximum amount of standard deduction u/s 16(i)(ia) allowed from	M1.03	R

	salary is		
--	-----------	--	--

PART B

II. Answer any **eight** questions from the following. Each question carries 3 marks

3x8 = 24 marks

1.	Define Previous Year.	M1.01	R
2.	List out various persons in Income Tax.	M1.03	R
3.	Summarize the concepts business and profession.	M2.02	R
4.	Describe the taxability of speculation business.	M2.02	U
5.	What is short-term capital asset?	M3.01	R
6.	Define the term TDS.	M3.03	R
7.	What is Gross Total Income?	M4.02	U
8.	State the rule relating to Section 80C of Income Tax Act 1961.	M4.03	U
9.	List out fully exempted allowances?	M1.04	R
10	Define agricultural income.	M1.01	R

PART C

Answer **ALL** questions. Each question carries 7 marks.

6x7 = 42 Marks

III.	Mr.Sunil earns the following income during the previous year 2019-20 a. Interest from an Indian company received in Germany Rs, 1,00,000 b. Pension from former employer in India received in U.K. Rs, 2,00,000 c. Income from companies in USA and received in India 1,00,000 d. Income from agriculture in USA and received in India 10,000 e. Income from employment in Japan received there rs, 20,000 f. Past untaxed profits brought to India rs, 50,000	M1.02	U
------	---	-------	---

	Compute GTI of Sunil for the assessment year 2019-20 if he is, i. Resident ii. Not ordinarily resident iii. Non resident		
OR			
IV.	Mr. Ram resides in Chennai and gets Rs.10, 000 per month as basic salary Rs. 8,000 per month as DA (entering service benefits), Rs.12, 000 per month as HRA. He pays Rs. 10,000 per month as rent. Calculate taxable HRA.	M1.03	U
V.	Compute Gross annual value: Actual rent Rs: 24,000 p.a. Fair rent Rs:28,000 p.a. Standard rent Rs: 20,000 p.a.	M2.02	U
OR			
VI	The net profit of business of Mr. Baveesh as disclosed by its P&L account was Rs:3,25,000 after charging the following: Municipal taxes on house property let outRs:3,000 Bad debt written offRs:15,000 Provision for bad and doubtful debtsRs: 16,000 Provision for taxationRs: 15,000 DepreciationRs: 25,000 Depreciation allowance as per rule isRs:20,000. Compute taxable business profit.	M2.03	A
VII	Describe the concept of transfer of capital asset.	M3.01	A
OR			
VIII	Compute income from other sources: Dividend (Gross)Rs:9,600 Expenses incurred for its collectionRs: 500 Receipts from letting of plant and machineryRs: 10,000 Repairs of Plant and MachineryRs: 4,000	M3.03	U

	Insurance premium in respect of plant and machinery Depreciation allowed for letting	Rs: 2,000 Rs:4,000														
IX	Following details are available in respect of income of Mrs. Maya for the year 2012-13: a) LTCG (indexed) b) Interest on bank time deposits c) Dividend from co-operative society d) LIC premium paid e) Contribution to Public Provident Fund Calculate total income by Mrs. Maya for the assessment year 2020-21.	Rs: 2,30,000 Rs:10,000 Rs: 5,000 Rs: 10,000 Rs:10,000	M4.01	U												
OR																
X	Describe inter head adjustment of income.		M4.04	U												
XI	State various exempted incomes.		M1.01	U												
OR																
XII	Mr. Abhijith is getting a salary of Rs 12,000 p.m. w.e.f. 1.4.2018. He is promoted w.e.f. 31.12.2018 and got arrears of Rs75,000. Bonus for the year 2019-20 is Rs15, 000 remains outstanding but bonus of Rs 12,000 for the year 2018-19 was paid on 1st January 2020. In March 2020, he got two months salary i.e. April and May 2020 in advance. Compute the gross salary for the assessment year 2020-21.		M1.04	A												
XIII	State the Amounts expressly allowed as deduction from income from business or profession.		M2.06	U												
OR																
XIV	From the following calculate Gross Annual Value, assuming that there is no vacant period.		M2.02	U												
	<table><tr><td>Particulars</td><td>House 1</td><td>House 2</td></tr><tr><td>MRV</td><td>1,05,000</td><td>1,05,000</td></tr><tr><td>FRV</td><td>1,07,000</td><td>1,07,000</td></tr><tr><td>SR under rent</td><td>1,35,000</td><td>1,35,000</td></tr></table>	Particulars	House 1	House 2	MRV	1,05,000	1,05,000	FRV	1,07,000	1,07,000	SR under rent	1,35,000	1,35,000			
Particulars	House 1	House 2														
MRV	1,05,000	1,05,000														
FRV	1,07,000	1,07,000														
SR under rent	1,35,000	1,35,000														

	control act				
	Actual Rent (AR)	1,12,000	98,000		
	Period in the previous year	12 months	12 months		